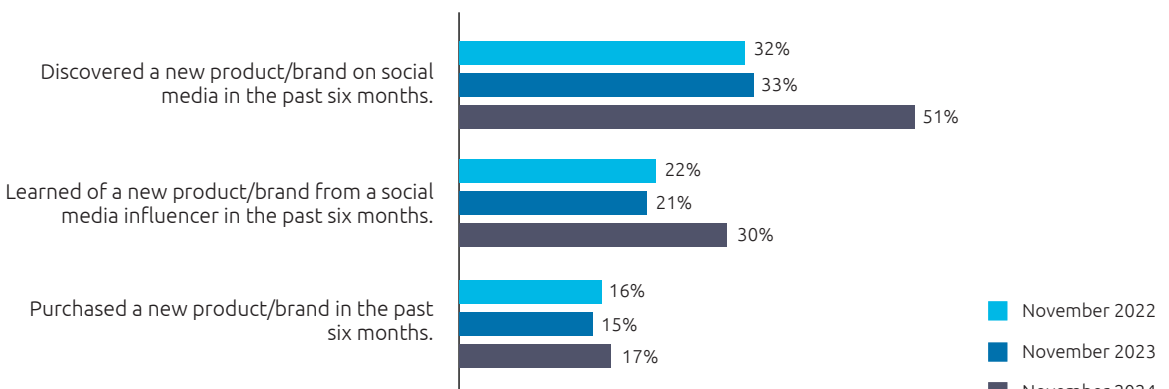
There is a growing reliance on social media as a primary channel for product discovery.

- The percentage of consumers discovering new products or brands on social media surged to 51% in November 2024, up from 32% in November 2022.
- The proportion of consumers learning about new products or brands from social media influencers has also increased significantly, reaching 30% in November 2024 from 21% last year. This trend underscores the expanding role of influencers in shaping consumer awareness and preferences.
- The percentage of consumers who purchased a new product or brand in the past six months is stable, at 17% in November 2024, from 15% in November 2023, and 16% in November 2022, indicating gradually increasing awareness and discovery.

Figure 24
Social media influencers are having a greater impact on consumers

Share of consumers who rely heavily on social media and influencers for product discovery and purchases



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Capgemini Research Institute, *What matters to today's consumer*, January 2024, Capgemini Research Institute, Consumer demand survey, October–November 2023.

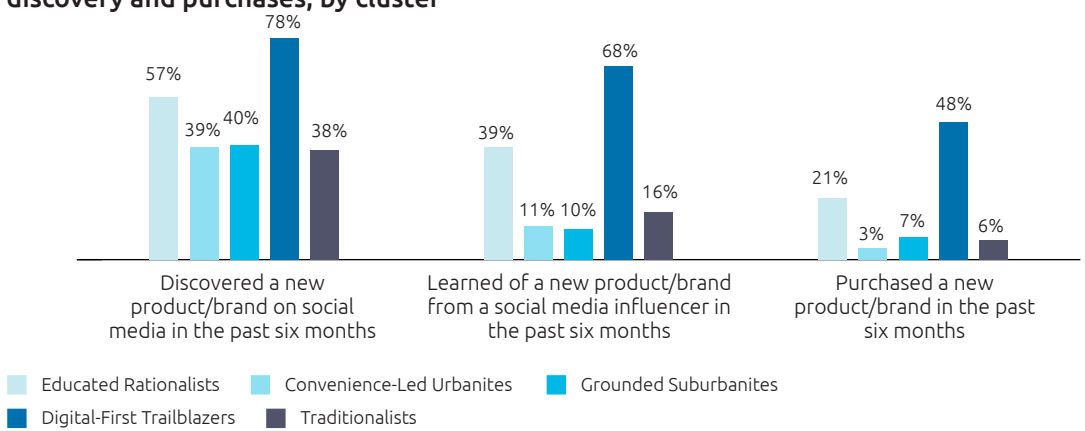
A key point is that the Educated Rationalists cluster and Digital-First Trailblazers cluster lead in product discovery and purchase. With average ages of Digital-First Trailblazers at 37 and Educated Rationalists at 56, respectively, this suggests that older consumers should also be a target market for social media.

51%

of consumers discovered a new product/brand on social media in the past six months

Figure 25.
Consumers in the Educated Rationalists cluster and Digital-First Trailblazers cluster are more influenced by social media influencers

Share of consumers who are heavily inclined towards social media and influencers for product discovery and purchases, by cluster

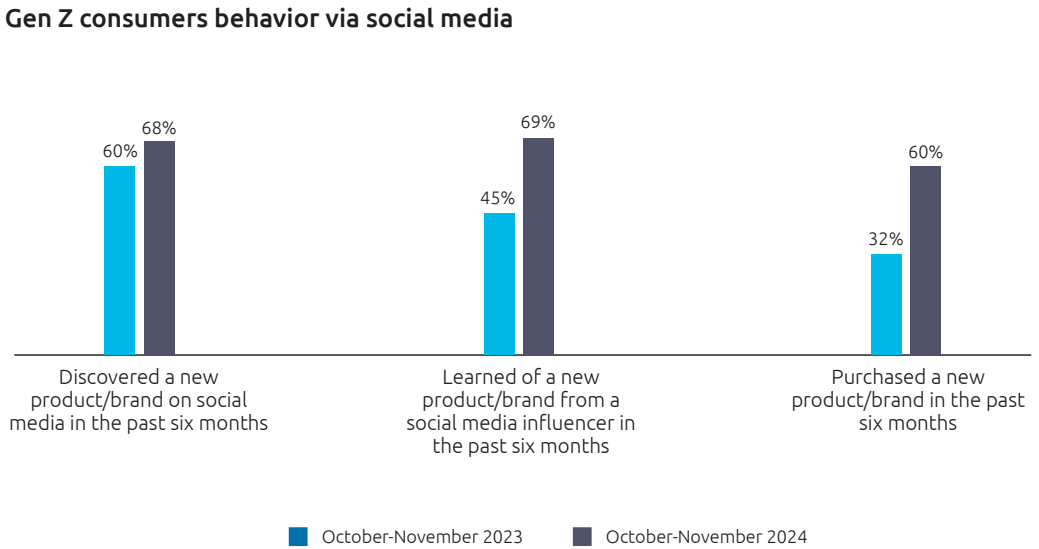


Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.

Social media and influencers carry more weight with Gen Z

In November 2024, 68% of Gen Z showed a strong preference for discovering products through social media, up from 60% in November 2023. Social media influencers fueled this trend, with their impact rising from 45% last year to 69% in November 2024. The percentage of Gen Z who bought new products via social media nearly doubled to 60% in this period.

Figure 26.
69% of Gen Z consumers learned of a new product/brand from a social media influencer

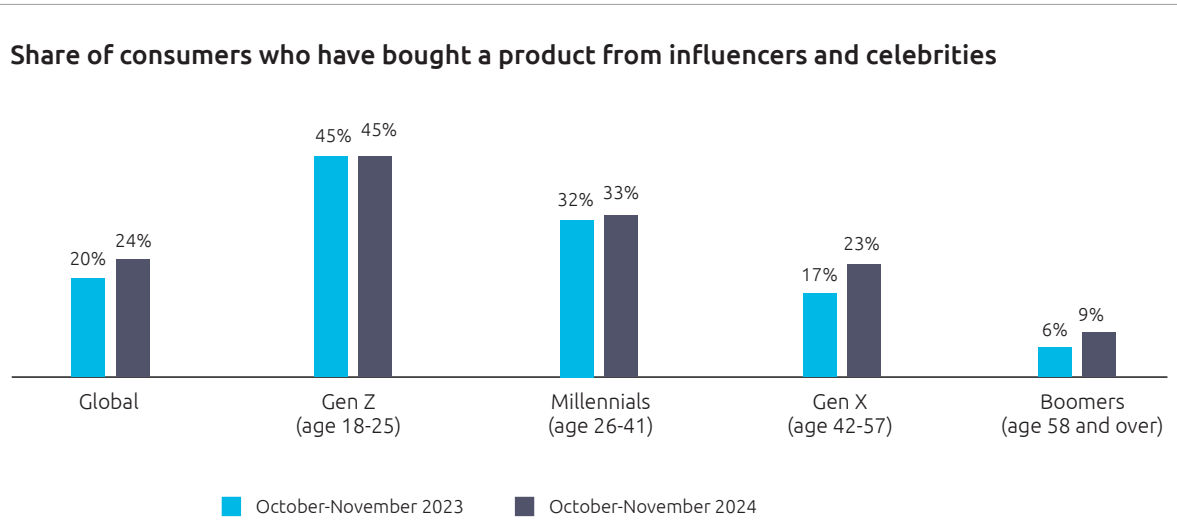


Source: Capgemini Research Institute, Consumer Demand survey, October–November 2023, N = 1,048 Gen Z consumers; October–November 2024, N = 1,394 Gen Z consumers.

One-quarter of consumers have bought products from influencers or celebrities

Consumers (particularly younger cohorts) are purchasing more products from influencers and celebrities globally, rising from 20% in October-November 2023 to 24% in the same period in 2024. Gen Z remains the most engaged cohort, with 45% reporting purchases influenced by celebrities or influencers in both years, underscoring their target-market status. Millennials show a slight increase, from 32% to 33%, while Gen X engagement rises from 17% to 23%. This indicates that, with a tailored approach, influencers could be effective across cohorts.

Figure 27.
45% of Gen Z consumers have bought a product from influencers and celebrity brands



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N =12,000 consumers; 1,394 Gen Z consumers; 3,219 Millennial consumers; 3,757 Gen X consumers; 3,630 Boomer consumers. Consumer Demand survey, October–November 2023, N = 11,681 consumers; 1,048 Gen Z consumers; 3,358 Millennial consumers; 3,586 Gen X consumers; 3,689 Boomer consumers.



Retail media networks: Capturing the shopper's attention

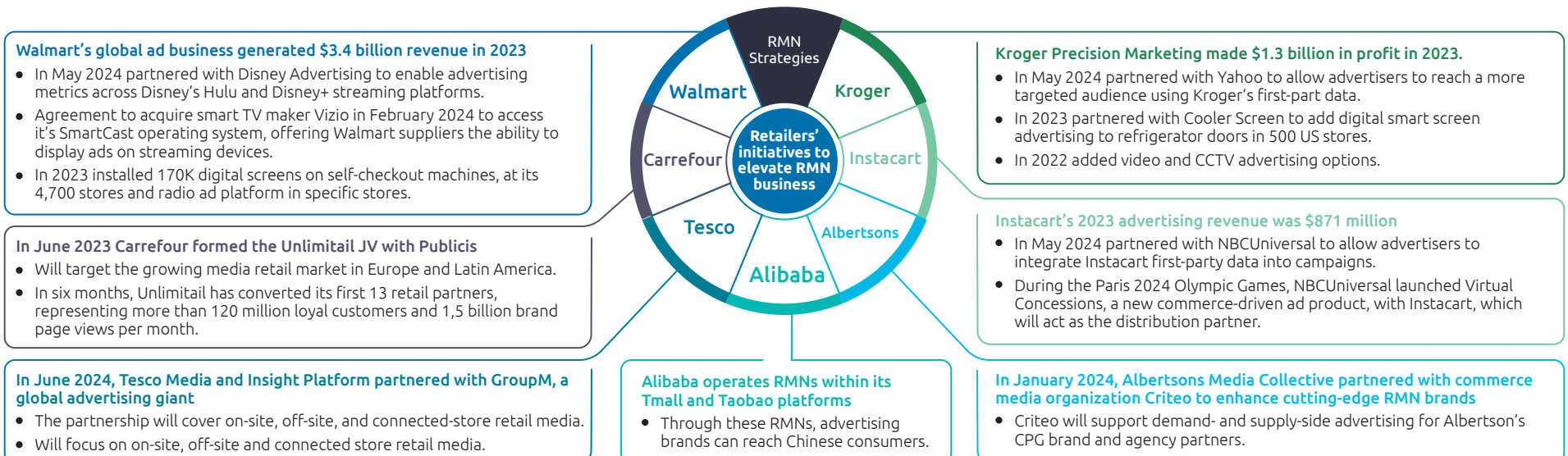
Retailers are making significant media investments

In 2024, global retail media spend will hit $140 billion,[30] one-fifth of worldwide digital ad spend. US digital retail media ad spend will reach around $41 billion.[31] Seventy percent[32] of global marketers say retail media networks (RMNs)[33] are more important to their 2024 media plan than to last year's. RMNs are growing strongly due to their unique business model, which benefits retailer, brands and consumers. RMNs help large retailers to monetize their digital platforms, often with higher margins than traditional retail operations. For brands, RMNs offer a platform to harness first-party consumer data, helping them reach their audiences with targeted advertising and personalized shopping experiences. There are more than 200 RMNs,[34] with major players being Amazon, Walmart, Instacart, Kroger, Albertsons, Carrefour, Alibaba, and Target. The surge in online shopping and the abundance of first-party data for targeted advertising is driving the expansion of RMNs.

Kroger delivered $1.3 billion[35] in operating profit in 2023 from its alternative profit businesses, including Kroger Precision Marketing. Kroger expects its RMN, Kroger Precision Marketing, to grow 20% in 2024.[36]

Figure 28.

Retailers are focusing on RMNs



Sources:

Walmart

1. Search Engine Land, "Walmart Connect opens up to small and non-endemic advertisers," April 2024.
2. Statista, "Walmart advertising revenue worldwide in fiscal years 2021 to 2023," April 2024.
3. Disney, "Disney Advertising and Walmart Connect to bring closed-loop attribution to streaming advertisers," May 2024.
4. Walmart, "Walmart agrees to acquire VIZIO HOLDING CORP. to facilitate accelerated growth of Walmart connect through Vizio's smartcast operating system," February 2024.
5. US Chamber, "Businesses large and small tap multibillion-dollar Retail Media Network trend for growth," March 2024.

Sources:

Kroger

6. Kroger, "Kroger reports fourth quarter and full-year 2023 results, announces guidance for 2024," March 2024.
7. eMarketer, "Kroger, Yahoo partnership enables marketers to reduce reliance on third-party cookies," May 2024.
8. US Chamber, "Businesses large and small.".

Instacart

9. Statista, "Advertising revenue of Instacart worldwide from 2019 to 2023," September 2024.
10. Instacart, "NBCUniversal and Instacart expand strategic partnership to open up audience-based advertising opportunities for CPG brands," May 2024.
11. Instacart, " NBCUniversal launches virtual concessions with Instacart during the Olympic games Paris 2024," August 2024.

Carrefour

12. Carrefour, "Carrefour Group and Publicis Groupe launch Unlimitail with its first 13 retail partners to seize the booming retail media market in Continental Europe, Brazil and Argentina," June 2023.

Tesco

13. GroupM, "GroupM and Tesco Media and Insight Platform establish significant strategic media partnership," June 2024.

Albertsons

14. PR News, "Albertsons Media Collective selects Criteo to power its retail media ecosystem," January 2024.

Alibaba(Tmall).

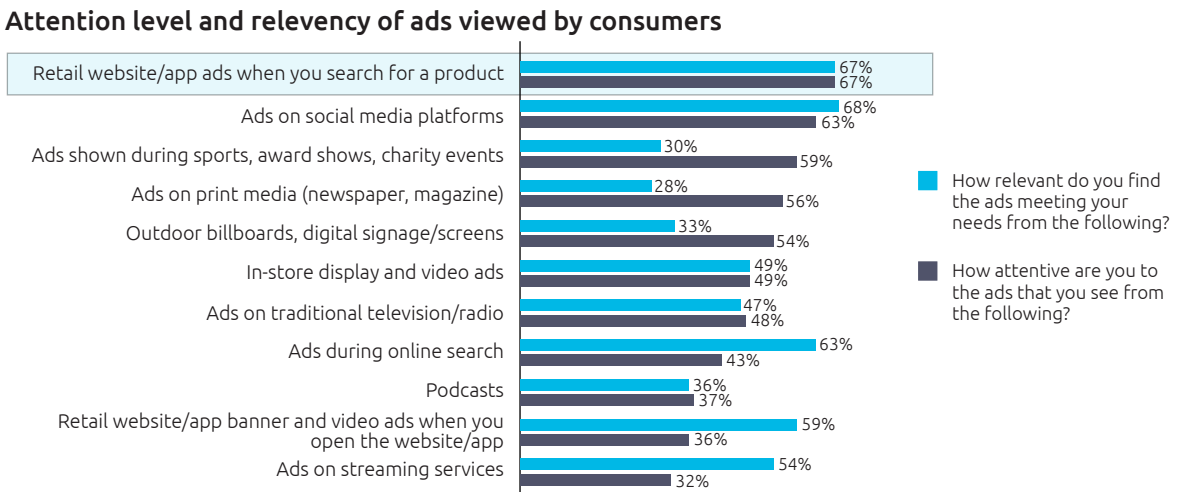
15. Tokinomo, "Top 9 Retail Media Networks you need to keep an eye on in 2024," October 2023.



Advertisements on retailer websites and apps attract the most attention across channels

As many as 67% of consumers notice ads on retail websites or apps, the highest across channels. For instance, 63% of consumers pay attention to social media ads, with 68% finding them relevant. Only 36% of consumers notice retail website/app banner ads, even though 59% of consumers consider them relevant. Similarly, ads during online searches and on streaming services have higher relevance but lower levels of attention. In offline channels, over half of consumers are attentive to ads during sports, award shows, charity events, print media, and outdoor billboards, but fewer than one-third find them relevant. Nearly half of consumers pay attention to TV and radio ads. Consumers slightly prefer in-store displays and video ads to TV.

Figure 29.
67% of consumers notice ads on retailer websites and apps compared with 63% on social media



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

Consumers across clusters pay attention to advertisements in retail websites and apps. However, this figure is low for the Traditionalists cluster, which has an average age of 62 and has 65% retired consumers with 70% staying in urban areas. It is important to note that, among all advertising platforms, consumers in the Traditionalists cluster pay most attention to retail websites and apps advertising.

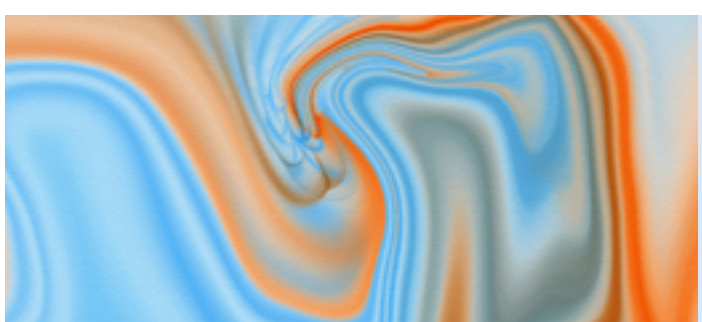
A total of 35% of consumers found the ads on retailers' websites/apps helpful for direct ordering and 22% discovered products by watching ads. Nearly one-third of consumer shopping baskets were influenced by ads while shopping online, with the highest impact on personal care products (35%), followed by health and beauty (33%).

Consumers find in-store advertisements less satisfying than online ones

In-store ads have a significant impact: 32% discover new products this way. Over half (58%) of consumers want to see ads that cater to their non-retail needs, such as insurance, travel, and healthcare. Walmart's US advertising unit, Walmart Connect, which reaches more than 212 million[37] people each month in its stores.

We found 48% of consumers are satisfied with in-store ads, compared with 75% satisfaction with online ads regarding content quality and placement. There are several reasons for consumer dissatisfaction.

- 59% of consumers say the ads shown are very generic and don't serve their specific needs.
- 53% want personalized in-store ads via a display in a smart shopping cart, smart mirrors, or interactive touchscreens.



67%

of consumers notice ads on retail websites or apps, the highest across channels

53%

want personalized in-store ads via a display in a smart shopping cart, smart mirrors, or interactive touchscreens.

03 How are people shopping?



Make it snappy: The growing demand for quick commerce

Since last year, consumers' willingness to pay for fast delivery has increased

Demand for hyper-fast delivery is rising, with consumers increasingly willing to pay for speed and efficiency. Quick commerce has a projected market value of $156 billion in Asia, $17 billion in Europe, $86 billion in North America, and $266 billion worldwide by 2029.[38] Consumer preference for quick delivery has surged significantly over the past two years. The share of consumers stating 10-minute delivery as an important service attribute when they shop for jumped from 31% in 2022 to 68% in 2024, and 2-hour delivery increased from 34% to 65%. Same-day home delivery has also seen a notable rise, increasing from 40% in 2022 to 57% in 2024 (figure 30). Curbside

or in-store pickup remained stable at 42% from 2023 to 2024, suggesting a shift towards more immediate delivery options. The willingness to pay more for quick delivery skyrocketed from 41% in 2023 to 70% in 2024, highlighting a strong consumer trend towards seeking quick and easy access to products. This trend highlights a growing impatience and desire for immediate gratification among consumers.

70%

of consumers are willing to pay more for quick delivery

Figure 30.
68% of consumers say 10-minute delivery preference is a key attribute when they shop

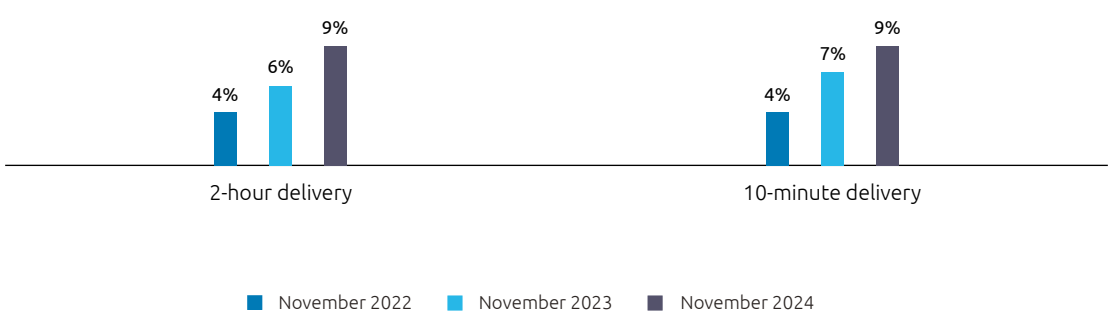


Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N =12,000 consumers.

Quick commerce, characterized by ultra-fast delivery options, is rapidly gaining traction among mainstream retailers and new startups worldwide. As consumer demand for convenience intensifies, this trend is set to dominate the market in 2025, reshaping shopping habits and logistics. Companies are increasingly investing in technology and infrastructure to meet these expectations, making quick commerce a pivotal aspect of the retail landscape. Walmart delivered 4.4 billion items with either same-day or next-day shipping speeds in the U.S. The retailer delivered about 20% of those goods in under three hours.[39] Amazon is preparing to launch its quick commerce offering in India, targeting the first quarter of 2025 for a potential rollout.[40] Consumers are now willing to pay 9% of the order value for 2-hour delivery, up 6% on last year. All age groups show an upward trend in their willingness to pay for expedited delivery.

Figure 31.
Shopper willingness to pay for 2-hour and 10-minute delivery has increased

Average percentage of order value that consumers are willing to pay for 2-hour delivery and 10-minute delivery



Sources: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Capgemini Research Institute, *What matters to today's consumer*, January 2024; Capgemini Research Institute, *What matters to today's consumer*, January 2023.

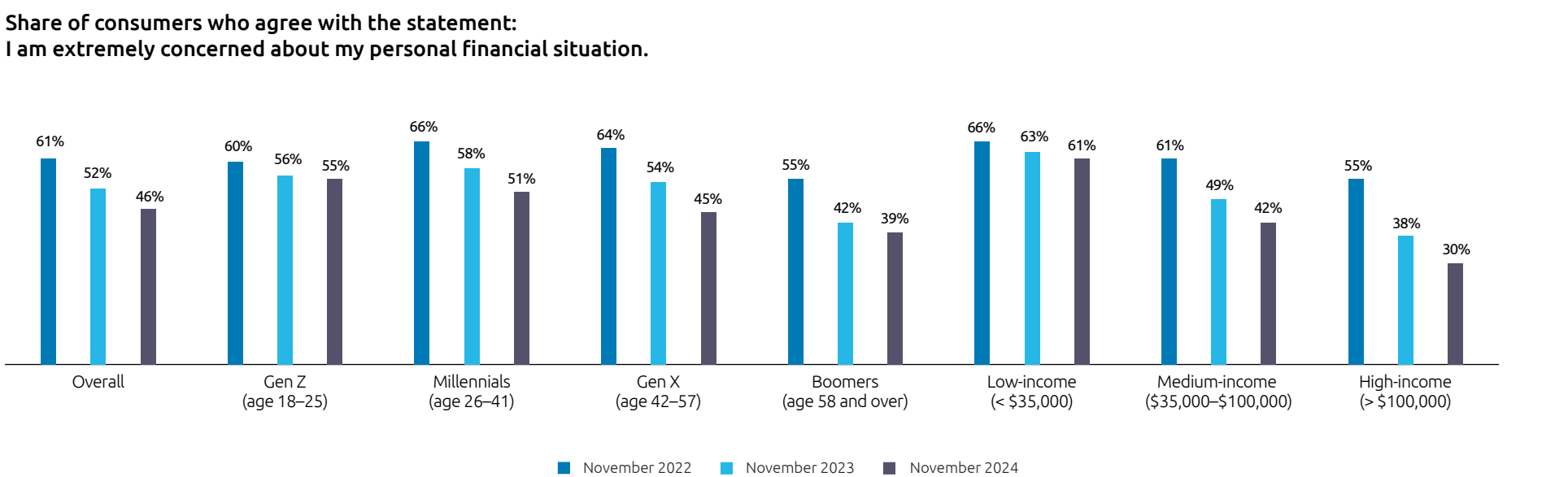


Seeing the light: The beginning of the end of the cost-of-living crisis?

The cost-of-living crisis continues to impact consumers, but the situation has improved

The cost-of-living crisis has eased slightly, with 46% of consumers worried about their finances versus 52% last year. The level of concern varies by age group.

Figure 32.
Consumers are less concerned about their personal financial situation this year

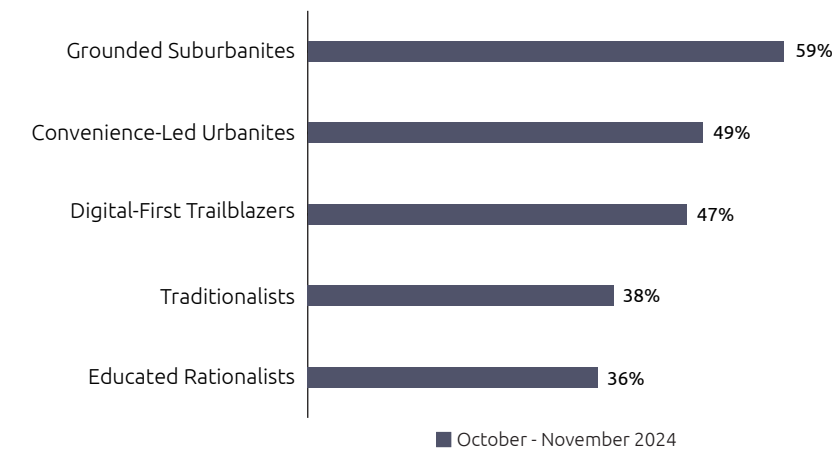


Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024; N = 12,000 consumers: 1,394 Gen Z consumers, 3,219 Millennial consumers, 3,757 Gen X consumers, 3,630 Boomer consumers; Capgemini Research Institute, Consumer Demand survey, October–November 2023; Capgemini Research Institute, *What matters to today's consumer*, January 2023.

Although consumers in the Grounded Suburbanites cluster are most concerned with the cost-of-living crisis, they have made fewer changes to their purchasing habits than Digital-First Trailblazers.



Figure 33.
Grounded Suburbanites are most concerned about their personal financial situation this year

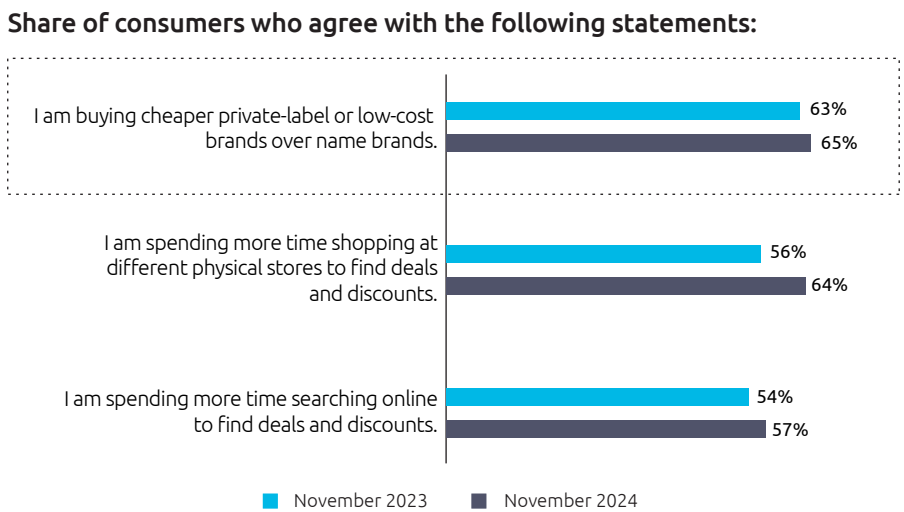


Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.

Consumers still prioritize discounts and private labels

While concerns about the cost-of-living crisis have lessened, consumers still seek discounts. Currently, 64% of shoppers visit multiple physical stores for deals, up from 56% last year, while 57% spend more time searching for deals online compared with 54% previously.

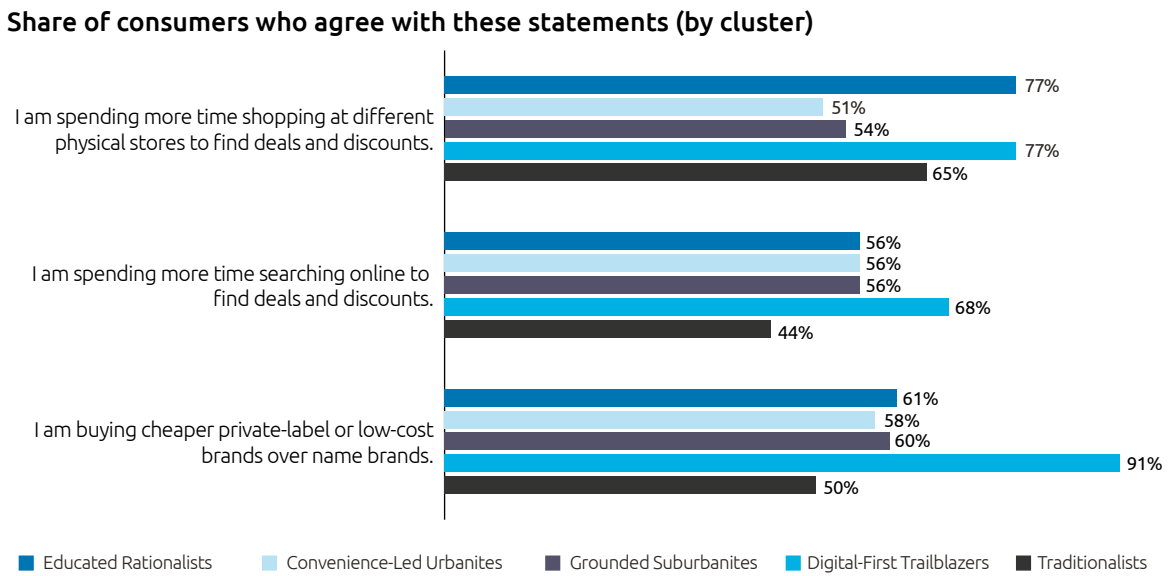
Figure 34.
Consumers remain cautious



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers, Capgemini Research Institute, *What matters to today's consumer*, January 2024.

Private-label sales are on the rise as consumers look for more affordable options. US private-label sales reached $236.3 billion in 2023.[41] Retailers such as Walmart, Target, and Kroger are broadening their private-label offerings in areas such as food and beverage, household essentials, and apparel to capitalize on this trend. Competitive pricing can attract cost-conscious shoppers, while using economics of scale to maintain quality promotes customer loyalty. One in five units sold in 2023 was store-branded, which is a record.[42]

Figure 35.
More than 90% of Digital-First Trailblazers are buying private label brands



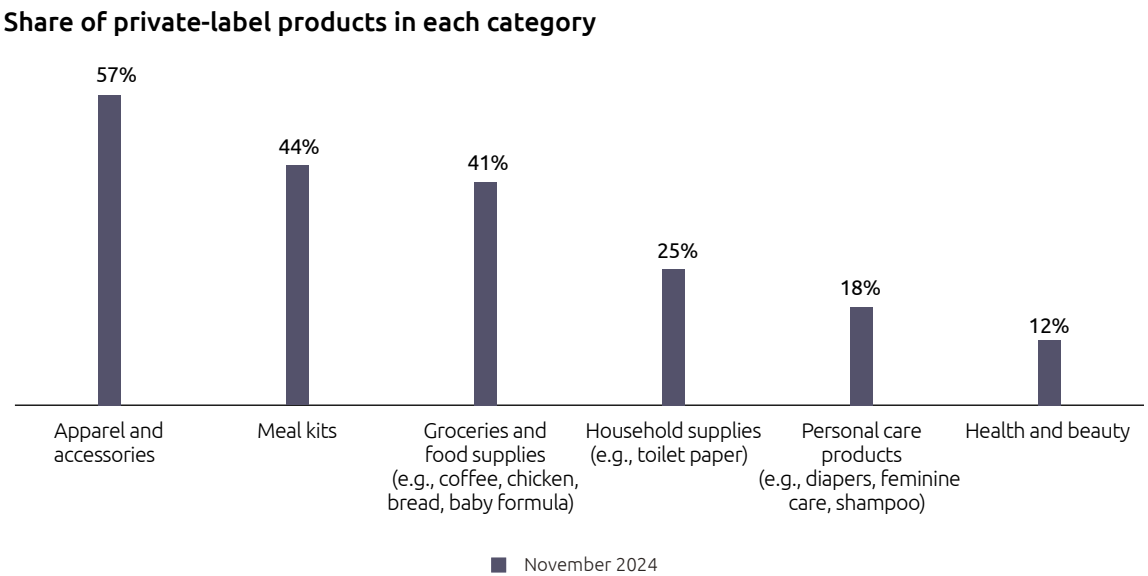
Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.

Currently, 65% of consumers buy private-label or low-cost brands, up from 63% last year. 91% of Digital-First Trailblazers buy private labels which is the highest across all categories. Around half (49%) of consumers prefer a white-label/private-label product to a premium brand in the same category. Gen Z (80%) and millennials (77%) lead this trend; 57% of apparel and accessories purchases and 41% of groceries are private-label.

65%

of consumers are buying cheaper private-label or low-cost brands over name brands

Figure 36.
The share of private-label products is significant in multiple categories



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

Shrinkflation leads to new legislation and is still a key consumer concern

Three-quarters (73%) of millennials expect retailers to provide alerts when brands reduce the weight of a product without reducing the price (a phenomenon known as "shrinkflation"). Globally, this figure is the same as last year, at 65%. French supermarket chains Intermarché[43] and Carrefour[44] alert consumers to products impacted by shrinkflation. According to a Carrefour spokesperson: *"To combat shrinkflation without penalizing customers, the group has implemented a strategy aimed at identifying any product affected by this practice so that its prices can be corrected in advance with its suppliers and its pricing policy."*[45]

To combat shrinkage, the French Ministry of Economy has issued a decree effective from 1st July 2024. It requires medium-to-large supermarkets to display per-unit prices and quantity changes next to affected products on store shelves for two months after any change. This rule applies to goods, including food and household items, in stores with footprints larger than 400 sq m.[46]

Figure 37.
Two in three consumers want shrinkflation alerts



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers, Capgemini Research Institute, *What matters to today's consumer*, January 2024.